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# *How To Re-Invent Your Business For Maximum Growth, Profit And Success*

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## Excerpt from *Marketing Lessons Of The Month....*

**CLEVER USE OF TELEPHONES**. For many years, I've taught local, small business owners to snatch up the phone numbers of like businesses that go out of business. Imagine a dry cleaner who gets the phone numbers of, say, three other nearby dry cleaners as they close their doors. None of them had enough customers to survive. But combined, they probably have enough customers to double Dry Cleaner #1's business. And to capture them all he has to do is answer every phone line: "Dry cleaners...No, they are no longer at that location, ma'am. Weve taken over all their customers, we're just about 1/2 mile away, and I can offer you our Welcome Special this week: 50% off on your first batch of cleaning. May I get your name and address for our discount coupon mailing list?" Anyway, IC Member Bob Martel sent me a fascinating story of "phone smarts" I want to follow up on when I have the chance - but here's what Bob told me. You've undoubtedly seen all of Troy-Built's direct response ads, for their garden tillers. A Troy-Built DEALER here in Phoenix got an 800# listing them as Troy Built Sales. Now when customers all over the country call 800-number information and ask for Troy-Built, they get this number, they call the dealer, Randy Grover, and he outsells his own manufacturer with comparable prices, no sales tax, nationwide shipping, better financing than offered by the factory, and better customer service. Interesting, huh?

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## Excerpt from *About Direct-Mail...*

**HOW PEOPLE BUY**

It is very, very valuable to figure out HOW your customers buy. Here, for example, is how guys buy cars: 48% think about it for no less than 3 weeks to no more than 3 months before buying, 24% for just 3 weeks or less; 20% buy the first day they start shopping, 35% between the first and seventh day, 12% 8-14 days. The three most important sources of info: 42% rely on articles in publications, 41% previous happy experience with vehicle or mfg., and only 29% on recommendations from others. (Still that's 29% of the biz that can come from referrals.) (Source: J.D. Power&Assoc., Mens Health Mag.) If you sell cars and do a mailing sequence following first inquiry and again following a non-buying showroom visit, this info dictates how those sequences are done, doesn't it? BIG NOTE: Do you know this much about how YOUR customers buy? If not, why not?

Of ALL the marketing tricks, techniques, strategies in the world, nothing is more important than what we teach as "Message-to-Market Match", so the more you know about your target market, the better.

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## Excerpt from *Marketing Lessons Of The Month....*

**STRATEGIC ALLIANCES: HOW SMALL BUSINESSES CAN RE-INVENT THEMSELVES AND WHIP NEW OR BIGGER COMPETITION:** Big Business is really into Strategic Alliances. For example, Blockbuster and Coca-Cola have recently inked a five year deal to plop refrigerated Coke beverage mini-stores, Coke apparel and novelty items and other merchandise in all the Blockbuster stores, and free-Coke-with-video-rentals promotions will soon be underway. In turn, Blockbuster will be promoted, mostly as a chief prize provider, in Coca-Cola contests. What can we learn from all this?

Consider the "Main Street Merchants" terrified when Wal-Mart comes to town. Or, last month, I spoke to a convention of independent appliance store owners. These folks must compete with Circuit City, Wal-Mart, Sears, Montgomery Ward's Electric Ave., etc. Margins are tight; advertising dollars are scarce and openly grudgingly parted with. One (of many!!!) good answers to their challenge is: strategic alliances, for cross-marketing and joint promotions.

Let's try an example: I own Dan's TV & Appliances in Bumpus, Indiana. I want to get people into the store to see my new lines of super-duper washers, dryers, microwaves and VCR's. And, once there, I want to use premiums to boost sales. Great. For starters, I go to a local, independent video rental place and get them to give me free rental coupons to give away with every VCR sold and I go to a local, independent supermarket and get its owner to give me coupons for free popcorn or frozen pizzas I can give away with microwaves, and stain remover products I can give away with washers and dryers. Then I provide a microwave as the Grand Prize for a "Visit Our Stores This Week Contest" to be jointly promoted by the supermarket, the video rental place, and my store; to enter, you have to visit all three stores and get your Entry Card marked in all three places. The other two kick in prizes, too. Etc. Etc.

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## Why, When & How To Reach New Move-Ins

**Small Business Owners and To-Consumer Salespeople: MONEY MAILER has new, improved services and programs ready to go.** As you know, I am an advocate of media like Money Mailer (and Val-Pak) for many businesses, for couponing, for lead generation, and for testing one offer against another. Now, MoneyMailer has a new "New Move-In" program, called "Home At Last", as a means of reaching families as they arrive in a given neighborhood. **By targeting the new move-in,** you have an opportunity to pre-empt all other merchants in your category and reach the customer before they have a chance to form new relationships. Surveys indicate that the new move-in goes through a period of adjustment no longer than 6 months, during which time they find and form loyalties to dry cleaners, hair stylists, auto repair, restaurants and carry-outs, grocers, doctors, etc. I think that advertising in HOME AT LAST, then following up with your own letter sequence is an outstanding, affordable approach to this market.

MoneyMailer is also offering new "solo" direct-mail services with sophisticated list selection capabilities. A meeting with your local MoneyMailer franchisee may be in order. (By the way, we're using MoneyMailer nationally to sell Guthy-Renker "As Seen On TV" products.)

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# HOW TO IDENTIFY THE PROSPECT MOST LIKELY TO BUY, PERFECTLY QUALIFIED TO BUY, AND GO GRAB HIM. WHERE IS THIS IDEAL, GRADE A+ PROSPECT HIDING? RIGHT UNDER YOUR NOSE!

Ten years ago, a 22-year-old ADVO (like Val-Pak) sales rep, Julia Adamsen stood up at a sales meeting and predicted she would be the CEO of a major corporation before age 40, thanks to her innovative use of direct-mail. Well, at age 33, she is an almost-CEO; she is head of a division of Pizza Hut created for her to run; their direct-response advertising and direct marketing division - with an incredible, unmatched-in-its-sophistication database marketing program of her invention, using an assembled database of nearly 10 million names to drive business to 7,000 outlets..

Bob Perkins, Senior VP of Marketing at Pizza Hut told DIRECT MAGAZINE: "Julia has been unbelievably effective in raising our consciousness and in implementing direct marketing programs. *In the beginning, she was a voice in the wilderness.* But she has transformed the thinking around this place."

Julia has led Pizza Hut away from the ADVO/Val-Pak model: saturation mailing of cents off coupons to zip codes and, instead, into **true target marketing** - for example, targeting specific, selected, frequent pepperoni pizza buyers in a given area with a promotion for a new steak lovers' pizza. This is "cross-marketing" at its best. Proof that you can increase sales by expanding product and service useage among present customers. This is a huge key to dramatically improving a business' sales and profits. Stop and think about it. Don't zip past this one.

**How Julia's Systems Have Permanently Altered The Way Pizza Is Sold To Pizza Hut's Customers**

Under her direction, Pizza Hut has combined databases from 2,000 company owned outlets, and is continuing to collect, analyze and organize customer profile data daily, every time someone orders a pizza. For the launch of Bigfoot, Adamsen was able to compile a list of a few million 'non-customers' scored as likely 'discount' pizza buyers, and her efforts are credited as equal to the huge TV ad blitz in making Bigfoot the most successful new product in Pizza Hut's history.

**Adamsen's system also tracks frequent customers who lapse, who stop buying, and pursue them with "come back offers".** Her system can virtually guarantee the success of a new outlet.

I first read the article about her work in DIRECT in the December 1993 issue (did you?), and I've been rolling it all around in my mind ever since. Here, finally, is a big company that has made the necessary investments to merge target, direct-response marketing with retail outlets, with spectacular results. And I am here to tell you that any business where customers come to the locations or call the locations could transform itself with these tactics. Sears could re-gain its dominance....imagine what we could do, knowing what we know, or what she could do, with lists of Sears tool-buyers who hadn't been back to purchase in 6 months, Sears home office products buyers, etc., etc. And so the small, local clothing store, print shop or restaurant could follow the same path. Why don't more businesses do this? There are any number of reasons: their ad agencies and internal traditionalists sabotage any thoughts

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of moving toward precisely measureable, accountable marketing. Laziness. Not understanding TCV: Total Customer Value.

## The Massive Failure Of Business To Value Its Customers

Do you know that, as much stuff as I buy, as many vendors as I use in business and stores I patronize as a customer - in 1993, I didn't get even ONE "come back mailing", not even ONE targeted promotion matched to my past buying behavior. There's a restaurant I patronized every week or so for two years that I stopped going to and haven't been to in a year - have I heard from them? No. Did I get any promotions while I was patronizing them, say tied to my birthday, my wife's birthday, our anniversary, the first game of the NFL season, whatever? No. And we can ask the same questions and get the same answers about clothing stores, insurance agents, auto dealers, printers, and on and on.

"I see a new role being created in organizations," Adamson boldly predicts, " the Chief Marketing Officer, someone who would integrate information, technology and marketing." If she's right - and she should be - a lot of heads'll roll and a lot of ad agencies'll go broke. Such a person would view the company's database (and database building capacity) as its absolute #1 asset. He would insist it be fully, imaginatively exploited. He would segment, segment, segment, then target market, target market, target market. And he would probably get a 1000% average increase in dollars per customer per calendar year.

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# THREE DIFFERENT SUBSCRIBERS HAVE CALLED MY ATTENTION TO "DIAL-A-MATTRESS." HERE'S THEIR INCREDIBLE STORY:

**Can You Get Rich With An Ordinary, Mundane, Even Boring Product? Try Mattresses.**

Napoleon Barragan immigrated to the U.S. in 1969 and settled, with his wife and four kids, in Queens, New York. Today he is just one more of so many examples of immigrants who seem to find more opportunity here in the United States to create fortunes from scratch than many of our natural-born citizens do.

While working at various factory jobs, he and his wife squirreled away enough money to open their own furniture store. Like most such stores, Barragan's sold beds, and mattresses; customers come in, push on them, sit on them, even jump up and down on them and pick out one. But in 1978 an ad for "Dial-A-Steak" caught Nap's attention. His seeing that ad *and thinking about what he saw* would alter the entire mattress industry.

He opened DIAL-A-MATTRESS in the attic above the furniture store, with two phone lines. For ten years, the business grew slowly, sort of stumbling and bumbling along, largely unnoticed by the mattress industry, other retailers, and most of the public. But in the last 5 years or so, growth has been explosive, thanks to a newly aggressive TV advertising blitz, featuring simple, cheap, "ugly" commercials. In 1992, sales hit 32-million dollars, an increase of more than 10 million dollars from the previous year. Today's DIAL-A-MATTRESS has hundreds of phone lines, 52 'sales counselors', its own warehouse inventorying over 6,000 mattresses and supporting direct delivery to customers throughout the northeastern U.S., plus a network of about 70 retailers providing delivery in the rest of the country. The majority of the business is still from the New York area, where Dial-A-Mattress is the #1 single location mattress retailer, but business done in other areas, through the 'satellite delivery network' is growing, and international expansion is next. In 1993, DIAL-A-MATTRESS averaged over 30,000 inbound calls weekly, producing 800 sales a day at a $450.00 average ticket.

**"They All Laughed When Nap Said He'd Sell Mattresses Sight Unseen and 'Touch Unfelt', And They Still Laugh At His 'Schlock Advertising', But He Who Gets Richer Than Croeseus Laughs Last And Laughs Best.**

Dial-A-Mattress' simple, cheap-to-make TV commercials featuring the lone tele-operator (Sherrie), the garish "Low Warehouse Prices" and "Dial 24 Hours A Day" overprints, and "1-800-MATTRES" - "leave off the 's' for savings" are an aggravation to New York's Madison Ave. ad agencies. The company's VP of Marketing says they produce these commercials for about $5,000.00 each, roughly $195,000.00 less than the going rate for a Mad Ave. agency to put together a spot for a client. There are no celebrities, no fancy film techniques, no gimmicks; just straightforward hard sell ads, emphasizing delivery within 2 hours, price, and customer testimonials. The production values are minimalist, so you can certainly tell the difference between these spots and, say, a Pepsi commercial with ice-skating and singing polar bears. But Danny Flamberg says, "So what? The question is what do I get by spending $195,000.00 more? Am I going to get ten times more sales?" Dial-A-Mattress insists on an accurately measureable return on every one of its advertising dollars. Flamberg says he gets calls constantly from ad agencies offering to

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"help him", but they run for the hills when he explains his exact return-on-investment numbers and asks if they can beat them.

The company's total advertising mix is 75% TV, 20% radio and 5% print. Now, they are experimenting with "1-800-4-FURNITURE", and a joint venture with AT&T for overseas markets.

Barragan remembers when all the other mattress retailers thought he was crazy to try and sell such an item sight unseen, over the phone. Now, there are dozens of fledgling copycats, and even Macy's is in the act. But Barragan is taking an aggressive three-prong approach to all that: one, expanding nationwide, through co-op arrangements with one retailer per area; two, expanding into other product categories; and three, experimenting internationally. He is also setting himself up as a "guru" of direct marketing for furniture and appliance retailers, offering small retailers a turn-key package of training, consulting and advertising support for their own markets. There are no plans, however, to deviate from the much ridiculed but very effective, very simple advertising.

You'd be hard-pressed to find a more boring product than a mattress., But this year, Dial-A-Mattress will undoubtedly sell over 60-million dollars worth of those boring products, direct to consumers.

*(Sources: DIRECT 10/93; NY Daily News, 11/5/93.)*

Now, there are any number of 'principles' that I teach, at work here in this story; here are a few:

1. The importance of being able to observe something in a situation unrelated to your business and creatively apply it to your business. I am always saddened and frustrated by the myopic, narrow-minded, markedly unimaginative behavior of so many businesspeople....the guy who sells restaurant supplies who says "You're talking about selling satellite dishes. That is of no use to me." Such a person is DOOMED to mediocrity, at best, because he will only accept ideas that come from his own narrowly-defined business, so that, by the time he gets an idea, it's already 'old hat', already adopted and used by more dominant players. Giant leaps come from bringing an outside strategy in. Inbreeding in business isn't any healthier than in families.

2. You do NOT need some brand new, whiz-bang innovation to get rich. Most U.S. millionaires have their fortunes rooted in ordinary, even mundane and boring products and services. They've found better ways to do a proven thing; they have not pioneered an entirely new thing.

3. Go direct to the consumer. The shortest and straightest line is direct to the end-user. Just about anything CAN be sold direct. Mattresses? Nap Barragan proved it. Las Vegas vacations? Bob Stupak proved it. Food? Harry & David, Omaha Steaks, Figis. Cosmetics - where traditional wisdom was the customer had to see the different colors on her skin before buying (either at the cosmetic counter or in-the-home via a salesperson) - Victoria Jackson went on TV and proved that traditional belief wrong.

4. "Ugly" advertising often, very often, out-performs prettiier, more sophisticated and more expensive variations. In the shadow of Madison Avenue, world headquarters of advertising, Nap kicks butt with TV commercials that cost "pocket change" to produce. My longest-running TV infomercial was produced with a cheap budget. A newsprint 'tear sheet'' that costs three cents'll outperform a dollar color brochure more often than not.

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# HOW A CAFETERIA USED DIRECT-MAIL, TELEMARKETING AND BUSINESS-TO-BUSINESS MARKETING TO RE-INVENT ITS BUSINESS

I'm often asked - challenged - at seminars about the techniques I teach being much more applicable for companies marketing to consumers/the public rather than to businesses. Well, nothing proves the point that, even in "business-to-business marketing", we're STILL, REALLY marketing to people than a successful "cross-over" like Morrisons.....a very successful chain of cafeterias that has long marketed only to the general public, but has now launched a new Corporate Meals Program: by contract, the service sets a company up to offer on premises meal service to its employees, without having a kitchen, so employees stay on premises, get back to work on time, have inexpensive but nutritious meals, etc.

Using telemarketing to identify the right decision-maker(s) by name in carefully selected 'target companies' (with a certain number of employees, within a certain mile radius of one of their stores), and then using a direct-mail campaign featuring a questionnaire, offer of a free report, and a free meal offer, Morrison got a whopping 23% response from their first campaigns - and did 1.6 million in business. If you dissect just this paragraph, you have *the* formula for smart business-to-business marketing.

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## "MEN OCCASIONALLY STUMBLE OVER THE TRUTH....

....but most of them pick themselves up and hurry off as if nothing happened." - Sir Winston Churchill. We have to be alert to what the world around us, our customers and our prospects try to tell us, so that we base our marketing ideas and decisions on truth, on reality, not on what ought to be or on what we think. When you see what your customers REALLY want, give it to them.

Years ago, when I first started flying on business, the magazines in First Clas on most airplanes included Playboy. (Which, incidentally, is not much different from Cosmopolitan. Women who would scream at the sight of Playboy think nothing of reading Cosmo.) Anyway, the airlines stopped carrying Playboy - but not for any of the reasons you'd think. They stopped because too many passengers were stealing the magazines! Mike Vance describes this response by the airlines as:

BRILLIANTLY DISCOVERING WHAT THE CUSTOMERS WANT MOST
AND THEN REFUSING TO GIVE IT TO THEM.

He mentions that many women seem to do this, from before marriage to after marriage. HE said that; I didn't. Anyway, I wonder how many businesses are guilty of this same kind of response?

The only time I ever held a job, I was a Publisher's Rep (salesman) for Price/Stern/Sloan Publishers, and, in those days, PSS published mostly humor and novelty books --- like Mad Libs, The Pushbutton Telephone Song Book, Worlds Worst Golf Jokes and How To Be A Jewish Mother --- and we had a 5-foot high spinner rack we tried to place in stores. I remember a guy who owned three drugstores telling me he wanted the racks taken out because

THE CUSTOMERS SPENT TOO MUCH TIME HANGING AROUND
THE RACKS, LOOKING AT THE DAMNED BOOKS.

The smart thing would be to put the racks in the center of the store, so people had to get in "deep" to get to them, passing all sorts of other merchandise going in and coming out...put impulse buy displays around the rack...then even if he never sold a book the books'd make tons of money for him.

And I'll never forget this one: for almost a year, I did a seminar every Wednesday night here in Phoenix, then my wife (first wife) stopped at a restaurant, went into the lounge, had a couple of drinks and a couple shrimp cocktails as our late-night dinner. One Wednesday night, the waiter informed us of a new manager's change in policy; appetizers would no longer be served in the cocktail lounge. When I got the new manager and asked him why, he said that he had observed

IF HE LET SOMEBODY GET AN APPETIZER IN THE BAR,
THEN EVERYBODY WANTED TO DO THAT.

This was inconveient; it made cocktail waiters and waitresses deal with food items. Too many business problems get solved without selling as the priority. And, speaking of which, here's some stuff I just love on what I call "The Sales Prevention Department," in all its glory (submitted by our subscriber Jack Jakoubek, from his local newspaper):

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*If you want to scream, press Star-ANGRY*
*by Henry Gay*

If Alexander Graham Bell had known his invention would lead to the following conversations, he would have strangled the telephone in its cradle.

**Doodad Manufacturing: May I help you?**
I want to buy some doodads. May I speak to someone who can help me, please?

**You'd want a salesman for that.**
Fine. May I speak to a salesman?

**No salesman is available.**
It's splendid that you are so busy.

**We're not busy.**
If you're not busy, why is no salesman available?

**The salesmen are all in a sales meeting.**
Could you please tell one of the salesmen he can make a sale if he comes to the phone?

**I can't interrupt a sales meeting.**
Not even to make a sale?

**Not for anything.**
What if the place is on fire?

**I'd have to check with top management on that.**
Isn't top management in the sales meeting?

**No.**
Fine. Let me speak to top management.

**What is the nature of your business with top management?**
I want to tell them I need to buy some doodads as soon as possible. I can't buy them on Saturday or Sunday because you are closed, so I call first thing Monday morning and I can't get a salesman.

**Sales meetings are always held on Monday morning.**
Why?

**I guess because most of the salesmen are either so hung over or stressed out from problems with their families they aren't ready to face customers. But that's only a guess. You'd have to ask top management.**
Ok. Connect me to someone in top management.

**No one in top management is available.**
Why, for crying out loud?

**They're all in a management meeting.**

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**May I speak to Mr. Gnumnutz, please?**
Mr. Gnumnutz is away from his desk.

**Is there someone else there who could help me?**
What do you want?

**I have some questions on the Form 19948-3652-D I received in the mail.**
Mrs. Tanglefoot should be able to help you. I'll transfer your call.

**Thank you.**
Mrs. Tanglefoot's office. May I help you?

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**I'd like to talk to Mrs. Tanglefoot, please.**
Mrs. Tanglefoot is away from her desk.

**Did she go to meet Mr. Gnumnutz?**
What's that?

**Never mind. Is there anyone else there who could help me with a Form 19948-3652-D?**
Mr. Crawlspace might be able to help you, but I can see from here he's away from his desk.

**Maybe Mr. Gnumnutz has returned to his desk by now. Will you please transfer my call?**
Certainly.

**What's taking so long?**
I've been ringing but Mr. Gnumnutz's secretary is not answering. She's apparently away from her desk.

**What do you suggest I do about my Form 19948-3652-D? It says if I don't return it by tomorrow I can be fined and jailed, and I don't understand some of the questions.**
I'm sorry, but I don't have time to find someone to answer your questions.

**What do you mean, you don't have the time?**
I haven't been away from my desk for six minutes.

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**Welcome to Cyber/Phyber, the company that has personalized good service. If you want to hear how glad we are to hear from you, press star-11. If you want to know how much we appreciate your business, press star-12. If you want to hear a recording of the staff singing the company song at our Christmas party, press star-14. If you want.....**
How do I find out about the new Raddlemix Petrobar you advertised in Cyberworld?

**....trip to Disneyland in a company contest, press star-36. If you want to go potty, press star-28. If you want to get on our mailing list, press star-23. If you.....**
What about the new Raddlemix Petrobar?

**.....next trade show appearance, press star-17. If you didn't get our 1993 calendar, press star-29. If you want....**
WHAT ABOUT THE NEW RADDLEMIX PETROBAR?

**.....bonus catalog, press star-34. If you want a good time, press all the right buttons. If you want...**
AARRGGGGGHHHHHH

(Source: Seattle Post-Intelligencer, 6/3/93)

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# LEARNING FROM THE NON-PROFITS

Max L. Hart, Director of Direct-Mail Fund-Raising for Disabled American Veterans is a top expert in increasing the size of gifts obtained from donars - analogous to increasing average order size. Here are his tips:

* Emotional copy influences donors to give more.

* Premiums.

* Special recognition levels, i.e. The President's Club, The Inner Circle, etc.

* Conversion from 'regular membership' to 'lifetime membership' (their mailing to 307,000 members converted 48,000 to lifers; 5.8 million for a marketing cost of $122,000.00).

(Source: Fund-Raising Management Magazine)

It strikes me that the tele-evangelists and other NP's have, at its core, a pretty tough sale: "You give me money, I give you nothing." So the techniques that work in their environments must work doubly well in other direct marketing sales.

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# RE-INVENTING BUSINESSES

**How To Double Sales Without Doubling Overhead**

When I spoke recently at the Los Angeles CEO Club, I met the owner of a limousine service; a very bright lady entrepreneur who, in the face of a competitive glut of limousine services, has re-invented her business as a "creative excursions company," organizing wine-tasting trips to northern California, a see-the-X-mas lights evening, a Halloween fright tour, etc., all using, of course, her limos. She has given herself something exciting to market, and made it possible to market to a broader, different clientele than the 'typical' limo user.

If you're familiar with my now-famous 'Giorgio letters' in the Magnetic Marketing System, you know that we took Giorgio out of the restaurant business and put him in the 'packaged romance business.'

This direct-mail letter sequence is an excellent example to study, to see the application of re-invention to a marketing campaign.

I think you can keep pulling a new business out of your old business over and over and over again, Jeff Paul started out selling a how-to course to financial planners. Out of that business came a newsletter business. Then a software business. Then a seminar business.

Don Dwyer built an enormously successful international group of franchisees in the carpet cleaning and dyeing business. Then he looked for ways to strengthen their businesses and his - the answer: add another service franchise to the same network of people For Don, being able to sell a second franchise to the same people wiped away most of the marketing costs inherent in recruiting franchees and dramatically accelerated the whole process. For the franchisee, adding a second service to offer to the same customers could double sales but NOT double overhead. So the carpet cleaning business became a carpet cleaning and bathtub and counter refinishing business. Then he repeated the whole cycle again, adding a drain cleaning-rooter business.

In both these examples, the business is re-intented through logical, natural extensions and the synergistic use of existent resources. The use of existent resources is the key to exceptional profits. One of the greatest questions is: what else can we do with what we've got? Most people do not think this way. When they think about growing or expanding or diversifying, they think about new investments, costs, locations, equipment. But that can't yield mega-profits.

Don Dwyer already had several important resources: a team of people and a system adept at selling and financing franchises; a business system that worked for service business owners to get their customers and operate profitably; and a network of established franchisees who trusted and believed in him. It begged the question: what else can be done with these resources? "Plug in" another franchise.

American Express did this with Optima. They already had creditworthy cardholders, computers, personnel and systems, so adding another, different credit card was a 'natural.'

Hanover House pioneered the multiple brand catalogs concept in mail-order. Hanover has a handful of different, differently-named catalogs, like International Male (clothing), Undergear, the original Hanover House (gifts), and others. They all use the same fulfillment center, phone ordering systems, merchant account relationships, computers, and lists of responsive buyers.

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Joint ventures sometimes re-invent businesses. MCI's linkage with Amway led Amway in a new direction and gave it new life. Sharper Image and Wine Merchant, two independent and different cataloguers selling to nearly identical demographics, are creating a joint catalog.

So what have you got and how can you use it to greater benefit?

**That Goofy Clock**

At our most recent Direct Marketing Super Conference, one of the guest speakers was Woody Young. Some years back, Woody acquired the "Kit-Kat Klock Company." It has made and marketed the goofy looking cat clock, with the rolling eyes and swinging tail, for decades. But Woody got busy re-inventing the business, to exploit the two biggest resources: one, the customers, and two, the cat character. The re-invention: a newsletter, a fan club, a myriad of products featuring the cat, and a licensing division, getting other manufacturers to use the cat and pay royalties. The result is a vastly different, bigger, more interesting and more lucrative business.

**Fast Food**

How did the fast food industry keep re-inventing itself? For a while, McDonalds, Burger King, Jack-N-Box, Arbys, all were mostly a lunchtime business, with a little dinner business. Then - breakfast! Go ask 'em how much of their total profits come from breakfast. Then the drive-in window. Now take-out orders coming in by FAX.

**One Of My Own Experiences**

In 1980 or so, when I took over General Cassette Corporation, it was a manufacturer of audio cassettes, mostly for professional speakers - losing money at a remarkable pace. As in most manufacturing, the margins were miniscule; customers bought by price; competitive pressure substantial and growing; new technology demanding capital investment that could not be made. There was no choice but to totally re-invent this business.

In a few short years, I took it from losses to profits, through a Chapter 11 Reorganization with an approved plan, and specific to margins, from an average markup of 15% to 300%. With the speakers and other custom production clients, we changed from 'manufacturer' to a full-service product development, packaging and marketing consulting and support company, with everything done under one roof, so that clients cheerfully paid the highest prices in the industry to get the added values. Separately, I started trying to capitalize on its under-used resource: a product line that could be sold direct to customers.

When I got the company, it was virtually worthless. When I later sold just its manufacturing operation, it brought six figures. In percentages, I increased value by over 2000%. All things considered, this episode is not much to brag about. But, without creative re-invention, it would have been an unmitigated disaster.

**The Greatest Re-Invention Tool Is 'Direct Marketing'**

Nordic Track was a 20-million a year business, with traditional advertising and distribution. Jim Bostic switched it to direct marketing, using lead generation ads and direct-mail sequences and hit 250-million...and is still growing. There was a fellow at a recent speech, he owns a fine art

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published business, and he could follow the Nordic Track model and ten-times his business' profits in a year.

One way or another, smart companies are taking control of their end-customer relationships. A big company, and interesting example right now is Levi Strauss. Levi is doing co-op direct mail campaigns with retailers: mailing, for example, a May Co. customer list at Levi's expense, to drive traffic to the May Co. But Levi is also carefully, quietly building up its own database, with sweepstakes promotions, 800 numbers, lists acquired from retailers, and other means. They're also investing the big dollars in having their database divided into 50 different psychographic profiles. Currently, they have detailed data on about 600,000 customers, and that number is growing rapidly. Soon they'll be in the driver's seat position: able to deliver customers to retailers who feature or exclusively stock their products or, alternately, able to sell directly to customers by mail. This is a manufacturer busily re-inventing its business.